10. Terms of Trade of a country show ……

a) Ratio of goods exported and imported
b) Ratio of import duties
c) Ratio of prices of exports and imports
d) Both (a) and (c)

11. Favourable trade means value of exports are ……. Than that of imports.

a) More
b) Less
c) More or Less
d) Not more than

12. If there is an imbalance in the trade balance (more imports than exports), it can be reduced by

a) decreasing customs duties
b) increasing export duties
c) stimulating exports
d) stimulating imports

13. BOP includes

a) visible items only
b) invisible items only
c) both visible and invisible items
d) merchandise trade only

14. Components of balance of payments of a country includes

a) Current account
b) Official account
c) Capital account
d) All of above

15. In the case of BOT,

a) Transactions of goods are recorded.
b) Transactions of both goods and services are recorded.
c) Both capital and financial accounts are included.
d) All of these

16. Tourism and travel are classified in which of balance of payments accounts?

a)merchandise trade account
b) services account
c)unilateral transfers account
d) capital account

17. Cyclical disequilibrium in BOP occurs because of

a) Different paths of business cycle.
b) The income elasticity of demand or price elasticity of demand is different.
c) long-run changes in an economy
d) Both (a) and (b).

18. Which of the following is not an example of foreign direct investment?

a) the construction of a new auto assembly plant overseas
b) the acquisition of an existing steel mill overseas
c) the purchase of bonds or stock issued by a textile company overseas
d) the creation of a wholly owned business firm overseas

12-Economics-Chapter_7.indd 150 2/6/2020 12:24:03 PM